



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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香港中環干諾道中八號遮打大廈八樓

12 October 2007

Circular to Management Companies of SFC-authorised Real Estate Investment Trusts ("REITs")

Acquisitions by SFC-authorised REITs

1. Since the authorisation and listing of the first REIT in November 2005, Hong Kong has seven listed REITs invested in different types of real estate assets both in Hong Kong and in the Mainland. The SFC believes that the Hong Kong REIT market is now ready for the next phase of growth. Experience in other markets tells us that growth predominantly comes from acquisitions by existing REITs. The SFC will give its full support to such expansion efforts, whether locally or overseas.
2. In response to some recent feedback from industry participants, the SFC hereby clarifies that in acquiring overseas and/or new types of properties, REIT managers do not have to seek re-approval of their licences or re-authorisation of the relevant REIT by the SFC before proceeding to make such acquisitions. In other words, there are no additional licensing or authorisation requirements for REITs planning to expand their operations into other markets or jurisdictions or different property types.
3. In making acquisition decisions, it is the REIT managers' obligation to satisfy themselves that they have sufficient and appropriate skills and processes in place to manage the new properties, either as part of their in-house skills or by way of outsourcing to a competent external party under their oversight. This would be a business decision for REIT managers having regard to their fiduciary duties to unitholders as a whole.
4. The SFC believes investors expect their REIT managers to manage and grow their REIT businesses. While a REIT may not have set out any strategic/business plan for growth and acquisition in its offering document, it may and is entitled to develop new acquisition and growth plans after listing, just like any listed company. For those new REIT applicants who already have a strategic/business plan for acquisition and growth at the time of listing, they should disclose such plans in their IPO offering documents as investors would like to know about such plans.



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5. REIT managers are welcomed to seek further guidance from the SFC on any regulatory aspects concerning their proposed acquisition plans.
6. To enhance regulatory transparency and also as part of our wider initiatives to facilitate the development and growth of the REIT market in Hong Kong, we will issue a separate Circular to provide practical guidance on the disclosure and unitholders' approval requirements concerning acquisitions by SFC-authorised REITs shortly.

**Investment Products Department
Securities and Futures Commission**